November 8, 2026 08:44 PM GMT

Alchip Technologies Ltd | Asia Pacific

Second big customer won, with revenue upside from major customer; OW

AlphaSignals Earnings Reaction

Strengthens our thesis	Modest shortfall	Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Alchip confirmed winning a second big customer from the US. Given strong demand from a major customer, it is possible for Alchip's 2027 revenue to double from 2026 and double again in 2028. We think the stock should react positively to the new customer win and better 2027-28 outlook.

Major surprise – winning a second customer: Previously, in Alchip Technologies Ltd: Solid 2027 and 2028 outlook with potential catalysts; OW (11 Oct 2026), we highlighted that we believe Alchip is a leading candidate for Google's TPU KGD back-end design opportunity. While that remains the case, Alchip's pursuit of another US HPC customer opportunity has borne fruit earlier. Based on management's comments, we believe this second customer is one of the major US CSPs; it could contribute US$1bn revenue in 2027.

Updates on major customer (AWS): Alchip management expect 4Q26 revenue to trend higher vs. 3Q26. When answering questions regarding AI demand uncertainty, Alchip doesn't see any signs of slowdown from the customer side and expects revenue from its major project (3nm AWS Trainium3) to grow >100% in 2027. Meanwhile, the next-generation project (2nm AWS Trainium4) will tape out soon; there should be a small revenue contribution from this in 4Q27. The company continues to believe that it is the only design service provider for the 2nm project, given the value it adds for the customer in terms of time to market.

We raise our revenue forecast: We update our revenue breakdown model. We think 2026 revenue should end up at ~US$2.3bn-US$2.4bn. Management thinks our US$4.5bn to US$5.0bn revenue outlook for 2027 (doubling from 2026) is reasonable. We think the company can further double its revenue in 2028, thanks to AWS Trainium4 production, and revenue streams from the second and third US CSP customers. See Exhibit 1.

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Alchip Technologies Ltd (3661.TW, 3661 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$5,888.00
Up/downside to price target (%)	108
Shr price, close (Nov 6, 2026)	NT$2,830.00
52-Week Range	NT$5,640.00-2,480.00
Mkt cap, curr (mn)	NT$228,088
Avg daily trading value (mn)	NT$8,272

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	67.68	140.63	227.68	362.63
Prior EPS (NT$)**	-	176.72	225.82	363.29
EPS (NT$)§	65.78	140.20	188.31	264.56
Revenue, net (NT$ mn)	30,926	74,400	155,000	328,600
P/E	51.9	20.1	12.4	7.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Stronger revenue guidance for 2027 and 2028

New customer contribution: We raised our 2027 and 2028 revenue forecasts given the second major customer's design win confirmation. The company guided that the contribution could start from 2Q27 and that revenue scale could reach US$1bn. We currently expect revenue from this customer to increase a further 20% in 2028 with a full-year contribution.

Exhibit 1: Alchip: Revenue Breakdown by Customer

Revenue (US$ mn)	2025e	2026e	2027e	2028e	2025 Y/Y	2026 Y/Y	2027 Y/Y	2028 Y/Y
NRE								
Total NRE	**321**	**350**	**350**	**500**	**-15%**	**9%**	**0%**	**43%**
Turnkey								
AWS	100	1,500	3,100	8,000	-86%	1400%	107%	158%
US CSP Customers	0	0	1,000	1,200			NA	20%
Intel Habana	300	0	0	0	50%	-100%	NA	NA
Amazon Lab126	40	50	50	50	-33%	25%	0%	0%
Sony	20	0	0	0	-60%	-100%	NA	NA
Chinese CPU	10	100	100	300	-75%	900%	0%	200%
Li Auto	20	200	200	300	NA	NA	NA	NA
Japan Consumer	30	50	50	100	NA	NA	NA	NA
Others	143	150	150	150	-25%	5%	0%	0%
Total turnkey	**663**	**2,050**	**4,650**	**10,100**	**-47%**	**209%**	**127%**	**117%**
Total revenue	**984**	**2,400**	**5,000**	**10,600**	**-39%**	**144%**	**108%**	**112%**

Source: Morgan Stanley Research estimates

Exhibit 2: Alchip: Revenue mix

Revenue mix	2025e	2026e	2027e	2028e
NRE				
Total NRE	**33%**	**15%**	**7%**	**5%**
Turnkey				
AWS	10%	63%	62%	75%
US CSP Customers	0%	0%	20%	11%
Intel Habana	30%	0%	0%	0%
Amazon Lab126	4%	2%	1%	0%
Sony	2%	0%	0%	0%
Chinese CPU	1%	4%	2%	3%
Li Auto	2%	8%	4%	3%
Japan Consumer	3%	2%	1%	1%
Others	15%	6%	3%	1%
Total turnkey	**67%**	**85%**	**93%**	**95%**
Total revenue	**100%**	**100%**	**100%**	**100%**

Source: Morgan Stanley Research estimates

Exhibit 3: Alchip 3Q26 earnings review

(NT$ mn)	3Q26				
	Preliminary	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	26,188	242.8%	298.6%	28,831	25,227
Opex	(1,071)	5.5%	56.7%	(1,298)	(1,215)
Basic EPS (NT$)	37.70	88.4%	129.9%	47.61	42.56
Ratios					
GM (%)	18.0%	-1,684bps	-1,002bps	20.0%	20.6%
Opex (%)	4.1%	-920bps	-632bps	4.5%	4.8%
OPM (%)	13.9%	-764bps	-370bps	15.5%	15.8%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Earnings estimate revisions

We cut our 2026 earnings estimate 20%; 2027e and 2028e EPS virtually unchanged: The cut to 2026 revenue and earnings forecasts is mostly driven by the revenue recognition deferred to 2027 and lower 3Q26 gross margin, which slightly missed the company's 20% target. We raise 2027-28 revenue forecasts given the new customer design win, but also lower our margin assumptions for both years – we think this new project would also carry a dilutive margin profile because the customer could be a major US CSP or HPC. We also slightly lower our non-US CSP customer revenue contribution forecasts for both 2027/2028 as we believe the company will prioritize foundry capacity for CSP customers. Net, our 2027 and 2028 EPS estimates change <1%.

Exhibit 4: Alchip: Earnings estimate revisions

NT$ mn	New '26E	Old '26E	Diff.	New '27E	Old '27E	Diff.	New '28E	Old '28E	Diff.
Net sales	74,400	94,550	-21%	155,000	135,780	14%	328,600	303,800	8%
Gross profit	16,681	21,308	-22%	29,199	28,414	3%	46,994	46,815	0%
Operating profit	12,777	16,633	-23%	22,204	22,011	1%	36,293	36,362	0%
Pretax Income	14,558	18,186	-20%	23,564	23,372	1%	37,531	37,599	0%
Net income	11,644	14,632	-20%	18,851	18,697	1%	30,024	30,079	0%
Reported EPS	**140.63**	**176.72**	**-20%**	**227.68**	**225.82**	**1%**	**362.63**	**363.29**	**0%**
Margins									
Gross margin	22.4%	22.5%		18.8%	20.9%		14.3%	15.4%	
Operating margin	17.2%	17.6%		14.3%	16.2%		11.0%	12.0%	
Net margin	15.6%	15.5%		12.2%	13.8%		9.1%	9.9%	
Opex %	5.2%	4.9%		4.5%	4.7%		3.3%	3.4%	

Source: Morgan Stanley Research estimates

Exhibit 5: Alchip: Quarterly Financials

(NT$ mn) YE DEC 31	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2023	2024	2025	2026E	2027E	2028E
Total revenues	**10,485**	**9,144**	**6,570**	**4,727**	**4,187**	**7,640**	**26,188**	**36,385**	**30,482**	**51,969**	**30,926**	**74,400**	**155,000**	**328,600**
Q/Q Change	*-19.8%*	*-12.8%*	*-28.2%*	*-28.0%*	*-11.4%*	*82.5%*	*242.8%*	*38.9%*						
Y/Y Change	*0.0%*	*-32.7%*	*-55.7%*	*-63.8%*	*-60.1%*	*-16.5%*	*298.6%*	*669.7%*	*122.1%*	*70.5%*	*-40.5%*	*140.6%*	*108.3%*	*112.0%*
Cost of Sales	**8,056**	**7,257**	**4,729**	**2,730**	**2,086**	**4,978**	**21,474**	**29,181**	**23,687**	**41,768**	**22,772**	**57,719**	**125,801**	**281,606**
Percent of Revenues	*76.8%*	*79.4%*	*72.0%*	*57.7%*	*49.8%*	*65.2%*	*82.0%*	*80.2%*	*77.7%*	*80.4%*	*73.6%*	*77.6%*	*81.2%*	*85.7%*
Gross Profit	**2,429**	**1,887**	**1,841**	**1,997**	**2,101**	**2,662**	**4,714**	**7,204**	**6,794**	**10,201**	**8,154**	**16,681**	**29,199**	**46,994**
Gross Margin	***23.2%***	***20.6%***	***28.0%***	***42.3%***	***50.2%***	***34.8%***	***18.0%***	***19.8%***	***22.3%***	***19.6%***	***26.4%***	***22.4%***	***18.8%***	***14.3%***
Incremental Margin	*NM*	*NM*	*NM*	*NM*	*NM*	*16%*	*11%*	*24%*	*14%*	*16%*	*NM*	*20%*	*16%*	*10%*
Total Opex	**934**	**737**	**684**	**782**	**733**	**1,015**	**1,071**	**1,085**	**3,033**	**3,705**	**3,138**	**3,904**	**6,995**	**10,701**
Percent of Revenues	*8.9%*	*8.1%*	*10.4%*	*16.6%*	*17.5%*	*13.3%*	*4.1%*	*3.0%*	*10.0%*	*7.1%*	*10.1%*	*5.2%*	*4.5%*	*3.3%*
R&D	467	494	453	417	508	742	792	792	1,547	2,142	1,831	2,834	3,945	4,915
Percent of Revenues	*4.5%*	*5.4%*	*6.9%*	*8.8%*	*12.1%*	*9.7%*	*3.0%*	*2.2%*	*5.1%*	*4.1%*	*5.9%*	*3.8%*	*2.5%*	*1.5%*
General & Adm Exp.	406	157	175	273	164	207	217	220	1,237	1,286	1,011	809	1,500	2,500
Percent of Revenues	*3.9%*	*1.7%*	*2.7%*	*5.8%*	*3.9%*	*2.7%*	*0.8%*	*0.6%*	*4.1%*	*2.5%*	*3.3%*	*1.1%*	*1.0%*	*0.8%*
Selling Expenses	61	86	56	92	61	66	62	73	250	276	295	262	1,550	3,286
Percent of Revenues	0.6%	0.9%	0.9%	2.0%	1.5%	0.9%	0.2%	0.2%	0.8%	0.5%	1.0%	0.4%	1.0%	1.0%
Operating Income	**1,494**	**1,150**	**1,157**	**1,215**	**1,368**	**1,647**	**3,643**	**6,119**	**3,761**	**6,496**	**5,017**	**12,777**	**22,204**	**36,293**
Operating Margin	*14.3%*	*12.6%*	*17.6%*	*25.7%*	*32.7%*	*21.6%*	*13.9%*	*16.8%*	*12.3%*	*12.5%*	*16.2%*	*17.2%*	*14.3%*	*11.0%*
Total Non-operating Income (loss)	**299**	**449**	**433**	**522**	**416**	**388**	**453**	**524**	**436**	**1,312**	**1,703**	**1,782**	**1,361**	**1,237**
Profit Before Taxes	**1,793**	**1,599**	**1,591**	**1,737**	**1,784**	**2,035**	**4,096**	**6,644**	**4,198**	**7,808**	**6,720**	**14,558**	**23,564**	**37,531**
Percent of Revenues	*17.1%*	*17.5%*	*24.2%*	*36.7%*	*42.6%*	*26.6%*	*15.6%*	*18.3%*	*13.8%*	*15.0%*	*21.7%*	*19.6%*	*15.2%*	*11.4%*
Taxes	**332**	**277**	**265**	**250**	**357**	**397**	**835**	**1,329**	**877**	**1,362**	**1,124**	**2,918**	**4,713**	**7,506**
Tax Rate	18.5%	17.3%	16.6%	14.4%	20.0%	19.5%	20.4%	20.0%	20.9%	17.4%	16.7%	20.0%	20.0%	20.0%
Minor interest	-2	-1	-2	3	-1	-1	-1	-1	-5	1	-2	-3	0	0
Total Net Income to Parent	**1,464**	**1,324**	**1,328**	**1,483**	**1,428**	**1,639**	**3,262**	**5,315**	**3,325**	**6,446**	**5,598**	**11,644**	**18,851**	**30,024**
Percent of Revenues	*14.0%*	*14.5%*	*20.2%*	*31.4%*	*34.1%*	*21.4%*	*12.5%*	*14.6%*	*10.9%*	*12.4%*	*18.1%*	*15.6%*	*12.2%*	*9.1%*
Y/Y change	*19.0%*	*-16.6%*	*-25.9%*	*-19.2%*	*-2.4%*	*23.8%*	*145.6%*	*258.3%*	*81.3%*	*93.8%*	*-13.1%*	*108.0%*	*61.9%*	*59.3%*
Diluted EPS (NT$)	**17.69**	**16.02**	**16.04**	**17.92**	**17.25**	**19.79**	**39.39**	**64.20**	**43.27**	**79.05**	**67.68**	**140.63**	**227.68**	**362.63**
Reported Basic EPS (NT$, TW GAAP)	**18.13**	**16.37**	**16.40**	**18.33**	**17.55**	**20.01**	**39.83**	**64.91**	**45.42**	**81.51**	**69.22**	**142.30**	**230.20**	**366.63**

Source: Company Data, Morgan Stanley Research estimates

Price target remains unchanged at NT$5,888

We continue to derive our base case value, which is also our price target, from a residual income model. Our cost of equity of 10.4% (beta of 1.4, equity risk premium of 6.0%, and risk-free rate of 2.0%) remains unchanged, as do our intermediate growth rate of 12.5% and terminal growth rate of 4%.

Our bear case value of NT$2,465 and bull case value of NT$6,880 are also unchanged.

Exhibit 6: Alchip: Residual income model

NT$ million	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	**40,824**	**48,636**	**59,440**	**77,060**	**96,883**	**119,183**	**144,271**	**172,495**	**204,247**	**239,968**	**280,153**	**325,363**
Net Profit	**11,644**	**18,851**	**30,024**	**33,778**	**38,000**	**42,750**	**48,093**	**54,105**	**60,868**	**68,477**	**77,036**	**86,666**
ROAE	**29.0%**	**42.1%**	**55.6%**	**49.5%**	**43.7%**	**39.6%**	**36.5%**	**34.2%**	**32.3%**	**30.8%**	**29.6%**	**28.6%**
Residual Income	7,343	12,960	21,965	23,236	25,655	28,262	31,119	34,280	37,799	41,729	46,128	51,059
Spread	**18.6%**	**31.7%**	**45.2%**	**39.1%**	**33.3%**	**29.2%**	**26.1%**	**23.8%**	**21.9%**	**20.4%**	**19.2%**	**18.2%**
Ending Equity Capital	40,824											
PV of Forecast Period	167,275											
PV of Continuing Value	279,426											
Equity Value	**487,526**											
No. of Shares	83											
Projected Price	**5,888**											

Source: Morgan Stanley Research (E) estimates

Risk Reward – Alchip Technologies Ltd (3661.TW)

Strong Trainium4 and second customer's upside in 2028

PRICE TARGET NT$5,888.00

Base case value, derived from a residual income model. We assume the cost of equity is constant at 10.4% (2% risk-free rate, 6% risk premium, 1.4 beta). Our intermediate growth rate and terminal growth rates are 12.5% and 4%, respectively.

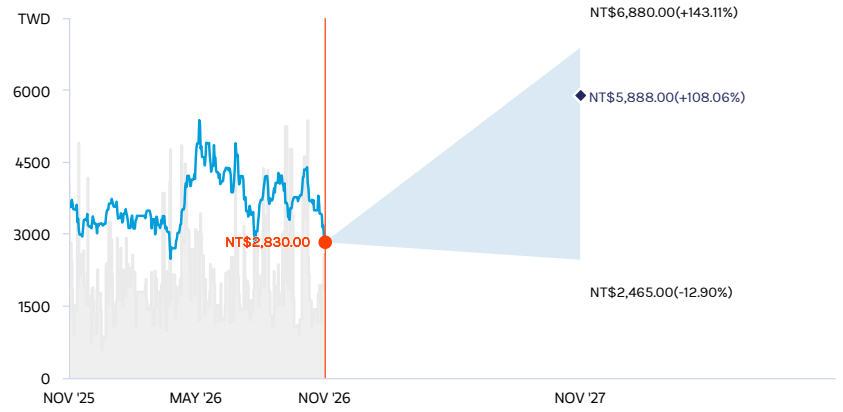
Consensus Price Target Distribution NT$3,755.00 — NT$5,823.62 — NT$6,800.00

MS PT

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We continue to believe that AI ASICs will outgrow AI GPUs in the coming years, and Alchip is one of the few ASIC design service providers that can deal with increasingly complex designs (at 2nm) with good production/design track records for large leading edge chips.
- AWS's announcement of its 3nm Trainium3 chip matches the timing of Alchip's 3nm project win. The growing number of use cases for Trainium (e.g., Apple's adoption) bodes well for Alchip's revenue growth in 2026.
- We believe Alchip has strong potential to win Trainium4.
- Our price target implies 26x our 2027e EPS, which we find undemanding vs. our >100% revenue CAGR for 2025-28e.

Consensus Rating Distribution

94%	Overweight
6%	Equal-weight
0%	Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$6,880.00

30x 2027e EPS

AI chipsets and HPC projects start to proliferate, amid substantial end demand. Alchip's leading-edge tape-out numbers increase significantly, with some high-profile project wins at 3nm or even 2nm. Alchip is able to secure enough foundry capacity (front-end wafers and back-end packaging) and substrates for all of its leading-edge turnkey production. Alchip gradually gains market share within the design service market, amid continued proliferation of custom chip demand.

BASE CASE NT$5,888.00

26x 2027e EPS

AI chipsets and HPC projects start to proliferate amid strong end demand, resulting in steady growth in tape-outs and volume. There might be a slowdown in Alchip's Chinese customers' design activity for leading-edge chips as a result of US export controls; we believe this would be largely offset by ASIC demand strength from non-China regions.

BEAR CASE NT$2,465.00

11x 2027e EPS

AI chipsets and HPC projects lack concrete end demand, resulting in delayed tape-outs and mass production. Alchip's leading-edge project pipeline deteriorates, or some customers turn directly to TSMC. AI GPU's dominance in AI computing compresses the market share gain potential for overall ASIC, with customers starting to slow their custom silicon developments - and therefore ASIC procurement plans.

Risk Reward – Alchip Technologies Ltd (3661.TW)

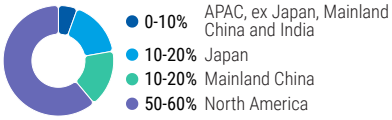
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
HPC revenue (NT$, mn)	25,816	60,394	134,850	285,882
Networking revenue (NT$, mn)	698	4,770	7,750	16,430

INVESTMENT DRIVERS

- New promising AI chipset entrants
- NRE revenue growth
- Faster migration of semi industry to 7nm

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand for Chinese GPUs and AI chipsets takes off earlier than expected.
- NRE demand accelerates.
- Alchip wins more US hyperscaler HPC projects.

RISKS TO DOWNSIDE

- China's HPC localization progress slows down.
- AI chipset progress is much slower to develop.
- NRE demand decelerates.
- Pricing competition intensifies.

OWNERSHIP POSITIONING

Inst. Owners, % Active 64.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	53,778	74,400 / 71,680	94,550
EBITDA (NT$, mn)	11,506	15,520 / 16,493	25,185
Net income (NT$, mn)	9,509	11,644 / 11,552	14,632
EPS (NT$)	114.85	140.63 / 140.20	176.72

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Alchip: Financial summary

Exhibit 7: Alchip: Financial Summary

Income Statement

NT$mn (Years End Dec)	2024	2025	2026E	2027E	2028E
Net sales	51,969	30,926	74,400	155,000	328,600
COGS	(41,768)	(22,772)	(57,719)	(125,801)	(281,606)
Gross profit	10,201	8,154	16,681	29,199	46,994
Operating expenses	(3,705)	(3,138)	(3,904)	(6,995)	(10,701)
Operating income	**6,496**	**5,017**	**12,777**	**22,204**	**36,293**
Non-operating income	1,312	1,703	1,782	1,361	1,237
Pre-tax income	7,808	6,720	14,558	23,564	37,531
Income tax	1,362	1,124	2,918	4,713	7,506
Minority Interest	1	(2)	(3)	0	0
Reported net Income	**6,446**	**5,598**	**11,644**	**18,851**	**30,024**
Adj.wtd.avg.shrs(m)	79	81	82	82	82
Reported EPS (NT$)	**79.05**	**67.68**	**140.63**	**227.68**	**362.63**
Modelware EPS (NT$)	**79.05**	**67.68**	**140.63**	**227.68**	**362.63**

Balance Sheet

NT$mn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cash	27,044	32,627	22,949	54,734	6,830
Mkt Securities	16	163	163	163	163
AR/NR	5,730	3,011	10,514	21,904	46,436
Inventory	8,661	6,945	19,778	43,107	96,495
Other	4,733	10,311	10,311	10,311	10,311
Current Assets	**46,184**	**53,057**	**63,715**	**130,218**	**160,235**
Long-term investments	1,600	2,204	2,204	2,204	2,204
Fixed assets	1,775	1,680	1,680	1,680	1,680
Deffered assets	169	440	440	440	440
Other assets	582	659	659	659	659
Total Assets	**50,309**	**58,039**	**68,696**	**135,200**	**165,216**
S/T borrowings	0	0	0	50,000	50,000
AP/NP	1,826	1,986	4,832	10,532	23,576
Other ST liabilities	8,845	14,988	14,988	14,988	14,988
LT debt	0	0	0	0	0
Other LT liabilities	161	240	240	240	240
Common shares	806	813	813	813	813
Total Liabilities	**10,833**	**17,214**	**20,060**	**75,760**	**88,804**
Additional capital	25,350	25,755	25,755	25,755	25,755
Retained earning	10,752	13,405	21,217	32,021	48,993
Other shareholders' equity	2,568	852	852	852	852
Total Equity	**39,477**	**40,824**	**48,636**	**59,440**	**76,413**
Total Liab. & Shrhldr's Equity	**50,309**	**58,039**	**68,696**	**135,200**	**165,216**

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT$mn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cashflow from Operations	**3,358**	**15,272**	**(3,103)**	**(7,424)**	**(32,108)**
Net profits	6,446	5,598	11,644	18,851	30,024
Depreciation	2,129	2,744	2,744	2,744	2,744
Working Capital Change	(869)	4,741	(17,490)	(29,019)	(64,876)
Other adjustments	(4,348)	2,189	0	0	0
Cashflow from Investing	**(676)**	**(5,828)**	**(2,744)**	**(2,744)**	**(2,744)**
Capex	(1,998)	(2,287)	(2,744)	(2,744)	(2,744)
Change of LT Investment	1,748	(3,701)	0	0	0
Change of ST Investment	(953)	(929)	0	0	0
Other adjustments	527	1,089	0	0	0
Cashflow from financing	**12,855**	**(2,653)**	**(3,831)**	**41,952**	**(13,052)**
Increase in L/T debt	0	0	0	0	0
Increase in S/T debt	0	0	0	50,000	0
Cash Dividend Paid	(1,818)	(2,946)	(3,831)	(8,048)	(13,052)
Issuance of stock	0	0	0	0	0
Other adjustments	14,673	293	0	0	0
Exchange rate adjustment	1,348	(1,208)	0	0	0
Net change in cash	**16,885**	**5,583**	**-9,678**	**31,784**	**-47,904**

Financial Ratios

	2024	2025	2026E	2027E	2028E
Growth(%)					
Turnover	70.5	-40.5	140.6	108.3	112.0
Operating profits	72.7	-22.8	154.7	73.8	63.5
Pretax profits	86.0	-13.9	116.6	61.9	59.3
Net profits	93.8	-13.1	108.0	61.9	59.3
EPS	82.7	-14.4	107.8	61.9	59.3
Margins (%)					
Gross Margin	19.6	26.4	22.4	18.8	14.3
Operating Margin	12.5	16.2	17.2	14.3	11.0
Pretax Margin	15.0	21.7	19.6	15.2	11.4
Net Profit	12.4	18.1	15.6	12.2	9.1
Return (%)					
ROAE	22.4	13.9	26.0	34.9	44.2
ROAA	15.6	10.3	18.4	18.5	20.0
Gearing (%)					
Net Debt/Equity	(68.5)	(79.9)	(47.2)	(8.0)	56.5
Liabilities/Equity	27.4	42.2	41.2	127.5	116.2
Ratios (X)					
Current ratio	4.3	3.1	3.2	1.7	1.8
Quick ratio	3.1	2.1	1.7	1.0	0.6
Others					
AR/NR Turnover (days)	29	52	52	52	52
Inventory Turnover (days)	89	125	125	125	125
AP Turnover (days)	16	31	31	31	31
Cash Conversion (days)	101	146	146	146	146

Source:

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

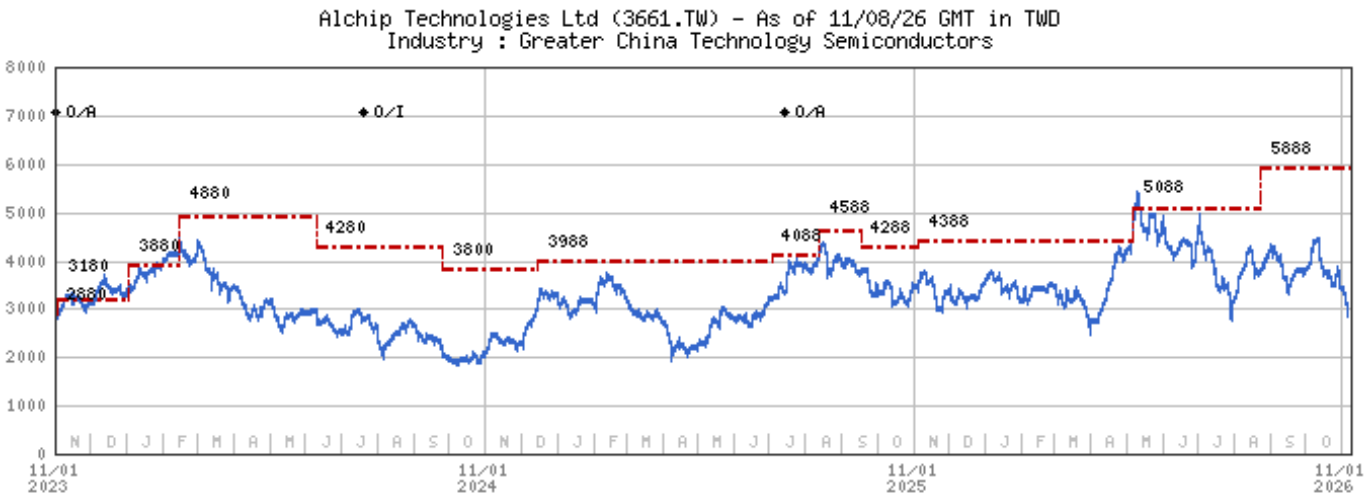
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Price Target History: 10/30/21 : 1190; 2/10/22 : 1280; 3/7/22 : 1420; 10/18/22 : 1280; 3/13/23 : 1340; 4/26/23 : 1380; 5/10/23 : 1480; 6/12/23 : 1800; 7/3/23 : 2130; 7/7/23 : 2280; 8/14/23 : 2330; 9/12/23 : 2880; 11/3/23 : 3180; 1/2/24 : 3880; 2/14/24 : 4880; 6/10/24 : 4280; 9/26/24 : 3800; 12/16/24 : 3988; 7/3/25 : 4088; 8/12/25 : 4588; 9/17/25 : 4288; 11/5/25 : 4388; 5/7/26 : 5088; 8/24/26 : 5888

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$90.30
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$2,830.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$527.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb802.90
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb40.41
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$6,205.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$384.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$70.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$60.95
MediaTek (2454.TW)	O (11/28/2025)	NT$3,390.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb492.54
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$343.50
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,500.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb80.81
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$389.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.58
TSMC (2330.TW)	O (02/07/2022)	NT$2,135.00
UMC (2303.TW)	O (05/19/2026)	NT$92.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$120.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$406.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$93.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb48.81

Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb93.65
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.77
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb189.50
Innoscience (2577.HK)	E (10/13/2025)	HK$25.92
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb52.51
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$22.12
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.20
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb81.86
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb69.71
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.40
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb18.24
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb73.41
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$608.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,160.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$11,375.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$79.10
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$115.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$1,885.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb159.60
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb239.49
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.49
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$75.80
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$183.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb150.10
Novatek (3034.TW)	U (02/04/2026)	NT$495.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$88.90
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$385.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$52.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$708.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb63.30
Silicon Motion (SIMO.O)	O (05/06/2024)	US$162.76
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$120.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$90.20
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$185.50
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$44.61
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb254.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb52.33
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb560.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.60
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$864.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$360.50
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$512.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$3,675.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$206.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$3,445.00

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